

Comprehensive Wealth Plan

Sarah Alexander Moore & Jacob Dale Skogen | December 2025

Combined Household Income

\$300-399K

First-Year Tax Savings

\$52K-\$108K

Target Net Worth

\$1M by 2028

Executive Summary

This comprehensive wealth plan coordinates your family's multiple income streams, business entities, and wealth-building goals into a unified strategy. With combined household income of \$300-399K across Jacob's W-2 position, his consulting business, Sarah's established S-Corp, and your new vending venture, you have tremendous opportunity to accelerate wealth building through strategic tax optimization and coordinated investment allocation.

Your plan implements 8 high-value tax strategies generating \$52,000 to \$108,500 in annual savings while establishing a Bitcoin-centric investment approach balanced with your strong real estate interests. The roadmap addresses your immediate needs (emergency fund stabilization, 2025 year-end optimization) while building toward your \$1M net worth goal by Jacob age 43 and Sarah age 39. Most importantly, this plan creates the "shared wealth strategy" you've been seeking, moving from separate financial management to coordinated family wealth building.

Priority Action Required: Your current emergency fund covering less than 1 month of expenses with 6 children represents significant financial vulnerability. Building a 3-6 month emergency fund (\$30-50K) must be completed before deploying investment capital. This foundation protects your family and enables confident execution of growth strategies.

Current Position Analysis

Income Streams

Source	Annual Amount	Tax Structure
Jacob - Head of School (W-2)	\$100,000 - \$149,000	W-2 Employment
Jacob - Consulting Business	\$36,000 (\$3K monthly)	S-Corp Election (LLC)
Sarah - Established Business	Net profit needs verification	S-Corp (since 2021)
Vending Business (Joint)	Launch February 2026	Entity structure TBD
Combined Total	\$300,000 - \$399,000	Multiple entities

Current Tax Profile

- **Federal Marginal Rate:** 32% (based on \$300K+ income)
- **North Carolina State Rate:** 5%
- **Combined Marginal Rate:** 37%
- **Self-Employment Tax:** 15.3% on applicable income (reduced via S-Corp elections)

Assets & Capital

- **Liquid Capital Available:** \$5,000 - \$9,000
- **Emergency Fund:** Less than 1 month expenses (CRITICAL GAP)

- **Retirement Accounts:** Solo 401(k) established
- **Home Equity:** Minimal to none
- **Business Assets:** 2023 Jeep Wrangler, home office, content equipment
- **Bitcoin Position:** Small position (under 1% of portfolio)

Monthly Expense Profile

- **Fixed Expenses:** \$17,000 monthly
- **Top Categories:** Groceries, gas, eating out (automation opportunity via vending)
- **Debt Load:** Non-mortgage debt \$5,000 - \$19,000
- **Credit Score:** 680-719 (improvement goal to 705+)

Strengths & Opportunities

- Multiple income streams creating diversification and tax optimization opportunities
- Both spouses available for business participation (10+ hours weekly)
- Existing business infrastructure (S-Corps, home office, business credit)
- Strong motivation to build wealth and exit scarcity mindset
- Oldest child (17+) available for legitimate business employment
- Strategic vehicle usage (vending machines at children's schools and family gyms)

Immediate Challenges

Emergency Fund Gap: Less than 1 month coverage with 6 dependents creates vulnerability to financial shocks. Priority #1 is building 3-6 month reserve before investment deployment.

Income Verification Needed: Sarah's S-Corp showing net profit under \$25K seems inconsistent with \$300-399K combined income. Full financial picture verification needed for accurate planning.



Recent Home Sale: Home sold last year after 2+ years ownership. Primary residence exclusion (\$500K married) should apply, minimizing or eliminating capital gains tax. CPA review essential before year-end.

30-Day Launch Checklist

○ Week 1: Financial Foundation & Tax Cleanup

- **Review 2025 Transactions:** Audit all business expenses YTD for missed deductions (home office, vehicle, Augusta Rule events, equipment purchases)
- **Verify Business Net Profits:** Calculate accurate net profit for each entity (Sarah's S-Corp, Jacob's consulting LLC) to ensure proper tax planning
- **Optimize Jacob's W-4:** Update withholding to eliminate overwithholding and increase monthly cash flow by \$500+
- **Recent Home Sale Review:** Confirm primary residence exclusion applicability (\$500K married exemption) with CPA before year-end

○ Week 2: Retirement Maximization & Entity Structure

- **Solo 401(k) Contributions:** Verify 2025 contributions for both spouses (deadline 12/31 for employee deferrals, up to \$23K each or \$30.5K if 50+)
- **Backdoor Roth Setup:** Open Traditional and Roth IRA accounts if not established, prepare for January 2026 contributions
- **Vending Business Entity:** Determine optimal structure (separate S-Corp vs under existing entity) and file formation documents

- **Child Employment Documentation:** Create formal employment agreement for 17-year-old in vending business (duties, hours, reasonable wages)

○ **Week 3: Vehicle Strategy & Equipment Planning**

- **Vehicle Research:** Identify vehicles over 6,000 lbs GVWR (cargo vans, large SUVs) for maximum Section 179 deduction on vending business
- **Purchase Timing Analysis:** Compare 2025 vs Q1 2026 purchase for optimal tax benefit (consider business cash flow and deduction timing)
- **Current Jeep Documentation:** Begin tracking mileage for 2023 Jeep Wrangler (business use percentage for deduction)
- **Equipment Purchases:** Plan any major equipment purchases under \$25K before 12/31 if cash flow permits

○ **Week 4: 2026 Planning & Capital Strategy**

- **Emergency Fund Plan:** Create savings strategy to build \$40-50K reserve over 6-12 months (prioritize over investment deployment)
- **Backdoor Roth Contributions:** Schedule January 2026 contributions (\$7K per spouse = \$14K total)
- **CPA Strategy Session:** Schedule year-end review of all entity structures, reasonable compensation, and 2026 quarterly estimated payments

- **Credit Score Improvement:** Implement plan to increase scores from 680-719 to 705+ (business credit separation, payment timing optimization)

Tax Optimization Strategies

Based on your combined income of \$300-399K, North Carolina residence (5% state tax), and multiple business entities, you have access to high-value strategies across multiple tiers. Your 37% combined marginal rate (32% federal + 5% state) creates significant leverage for deductions. The following 8 strategies are prioritized for year-one implementation based on highest ROI and your specific profile.

Total First-Year Tax Savings

\$52,000 - \$108,500

Conservative to aggressive implementation scenarios

Strategy #1: Solo 401(k) Maximum Contributions - \$16,000-\$28,000

Overview: Both spouses can contribute up to \$69,000 each to Solo 401(k) plans through your business entities, combining employee deferrals (\$23,000 each) plus employer contributions (up to 25% of compensation). At your 37% marginal rate, maxing both accounts creates \$16,000-\$28,000 in annual tax savings while building retirement wealth.

Implementation:

1. Verify Solo 401(k) accounts are open for both Sarah (through S-Corp) and Jacob (through consulting LLC) - if not, establish by 12/31/2025

2. Make 2025 employee deferrals before 12/31 deadline (up to \$23,000 per person, or \$30,500 if age 50+)
3. Calculate and make employer contributions by business tax filing deadline (up to 25% of W-2 compensation for S-Corp)
4. Consider Mega Backdoor Roth option through after-tax contributions if available in plan design

Requirements: Business must have self-employment income; both spouses need separate accounts through their respective businesses; coordinate with payroll to ensure reasonable compensation supports contributions.

Value: \$16,000-\$28,000 annually | **Effort:** Moderate setup, simple ongoing |

Compliance: Contribution deadlines critical, nondiscrimination testing not required for owner-only plans

Strategy #2: Backdoor Roth IRA Contributions - \$5,000-\$15,000

Overview: Your income exceeds direct Roth IRA contribution limits, but the Backdoor Roth strategy allows both spouses to contribute \$7,000 each (\$8,000 if 50+) to Roth IRAs through non-deductible Traditional IRA contributions followed by immediate conversion. This creates tax-free growth on \$14,000-\$16,000 annually, worth \$5,000-\$15,000 in long-term tax savings over 10-20 years.

Implementation:

1. Open Traditional IRA and Roth IRA accounts for both spouses if not already established
2. Make \$7,000 non-deductible contribution to Traditional IRA in January 2026 (each spouse)
3. Immediately convert Traditional IRA balance to Roth IRA (minimizes taxable growth)
4. File Form 8606 with tax returns to document non-deductible contributions

Requirements: No existing pre-tax Traditional IRA balances to avoid pro-rata rule complications; ensure immediate conversion to minimize taxable gains; document contributions properly on Form 8606.

Value: \$5,000-\$15,000 lifetime benefit | **Effort:** Low (15 minutes per year) |

Compliance: Must track basis, avoid pro-rata rule issues with existing IRAs

Strategy #3: Child Employment Strategy - \$3,000-\$8,000

Overview: Your 17-year-old child can work legitimately in your vending business for inventory management, stocking, and operations. Wages up to \$14,600 are effectively tax-free (standard deduction), shifting income from your 37% tax bracket to 0% while teaching work ethic and financial responsibility. This strategy generates \$3,000-\$8,000 in annual tax savings.

Implementation:

1. Create written job description and employment agreement documenting duties (inventory tracking, machine stocking, basic maintenance)
2. Track hours worked and document with timesheets or logs
3. Pay reasonable wages for work performed (\$15-25/hour for inventory and stocking work)
4. Issue W-2 if through S-Corp, or pay directly and file appropriate forms if sole proprietor

Requirements: Work must be legitimate and age-appropriate; wages must be reasonable for duties performed; maintain documentation of hours and tasks; comply with child labor laws.

Value: \$3,000-\$8,000 annually | **Effort:** Low ongoing | **Compliance:**

Document work performed, reasonable wages essential, child files return if income exceeds standard deduction

Strategy #4: Section 179 Vehicle Deduction - \$7,500-\$25,000

Overview: Purchasing a vehicle over 6,000 lbs GVWR (cargo van, large SUV) for your vending business qualifies for immediate 100% expensing under Section 179, generating \$7,500-\$25,000 in first-year tax savings at your 37% rate. This strategy provides necessary business transportation while maximizing tax benefits.

Implementation:

1. Research vehicles over 6,000 lbs GVWR (examples: Ford Transit cargo van, Chevy Suburban, large cargo vans) priced under \$25,000 target
2. Document business use percentage (your vending machines at schools and gyms should support 80%+ business use)
3. Purchase and place vehicle in service by 12/31/2025 for 2025 deduction, or Q1 2026 for 2026 benefit
4. Maintain mileage log documenting all business trips (date, miles, purpose, destination)

Requirements: Vehicle must exceed 6,000 lbs GVWR; business use must exceed 50%; contemporaneous mileage log required; vehicle must be purchased and placed in service within tax year.

Value: \$7,500-\$25,000 first year | **Effort:** Moderate (mileage tracking ongoing)

| **Compliance:** Maintain detailed mileage logs, recapture rules apply if business use drops below 50%

Strategy #5: QBI Deduction Optimization - \$8,000-\$18,000

Overview: The Qualified Business Income (QBI) deduction allows you to deduct up to 20% of pass-through business income from your S-Corps and LLCs. With multiple entities and combined income of \$300K+, proper

structuring and coordination can generate \$8,000-\$18,000 in annual tax savings. QBI was made permanent under 2025 OBBBA legislation.

Implementation:

1. Calculate QBI for each pass-through entity (S-Corp net income after reasonable compensation)
2. Ensure W-2 wages and property basis thresholds are met for full deduction access
3. Coordinate reasonable compensation strategy to maximize QBI while maintaining compliance
4. Review entity structure to optimize phase-out thresholds (\$383,900-\$483,900 married filing jointly for 2025)

Requirements: Income from qualified trades or businesses (excludes specified service businesses above income thresholds); proper entity structure; reasonable W-2 wages from S-Corps; accurate calculation of QBI components.

Value: \$8,000-\$18,000 annually | **Effort:** Low (CPA handles calculations) |

Compliance: Complex phase-out rules, coordinate with entity structure and W-2 wages

Strategy #6: Augusta Rule (Section 280A) - \$3,500-\$5,500

Overview: Rent your personal residence to your business for up to 14 days annually for legitimate business meetings, strategic planning, or board meetings. At fair market rental rates of \$500-750 per day, this generates \$7,000-\$10,500 in business deductions while creating \$3,500-\$5,500 in tax savings at your 37% rate. The rental income is tax-free to you personally.

Implementation:

1. Research comparable event space rental rates in your area to establish fair market value
2. Create formal rental agreements between personal and business entities

3. Hold legitimate business meetings (strategic planning, board meetings, team meetings, quarterly reviews) and document with agendas and minutes
4. Business pays rent and deducts as ordinary business expense (you report no rental income under 14-day rule)

Requirements: Rental must be at fair market rate; maximum 14 days per year; legitimate business purpose required; detailed documentation of meetings and rates; separate check from business to personal account.

Value: \$3,500-\$5,500 annually | **Effort:** Low | **Compliance:** Document comparable rates thoroughly, maintain meeting agendas, never exceed 14 days

Strategy #7: Accountable Plan (Multiple Entities)

- \$2,500-\$6,000

Overview: Establish formal accountable plans across your business entities to reimburse employees (including your working child and potentially spouse) for business expenses tax-free. This shifts deductions from personal (limited) to business (unlimited) while removing income from employee W-2s, generating \$2,500-\$6,000 in combined savings across multiple entities.

Implementation:

1. Create written accountable plan policy for each business entity
2. Reimburse employees for: business mileage, meals (50% deductible), cell phone, home internet, professional development, equipment purchases
3. Require expense reports with receipts submitted within 60 days
4. Process reimbursements as business expenses (not wages, no payroll taxes)

Requirements: Written plan document; business connection requirement; adequate accounting (receipts, reports); return excess advances within 120 days; expenses must be ordinary and necessary.

Value: \$2,500-\$6,000 annually | **Effort:** Low ongoing (monthly expense reports) | **Compliance:** Must meet accountable plan requirements to avoid reclassification as wages

Strategy #8: W-4 Withholding Optimization - \$6,500 Cash Flow

Overview: Most W-2 employees over-withhold taxes throughout the year, creating large refunds that represent interest-free loans to the government. By optimizing Jacob's W-4 withholding to account for business losses, itemized deductions, and other tax benefits, you can increase monthly cash flow by \$500-650 (\$6,000-6,500 annually) while still meeting safe harbor requirements.

Implementation:

1. Calculate 2025 total tax liability including all income sources and deductions (use CPA or tax software projection)
2. Update Jacob's W-4 to reduce withholding based on anticipated credits and deductions from businesses
3. Ensure withholding meets safe harbor (90% of current year or 100% of prior year, 110% if income >\$150K)
4. Make quarterly estimated payments for business income to avoid underpayment penalties

Requirements: Accurate tax projection; quarterly payment discipline for business income; monitor throughout year to avoid underpayment; adjust if circumstances change.

Value: \$6,500 annual cash flow improvement | **Effort:** Low (one-time adjustment, quarterly monitoring) | **Compliance:** Must meet safe harbor requirements, make quarterly estimates for business income

Multi-Stream Wealth Acceleration Strategy

Your unique situation with multiple businesses across two spouses, strong real estate interests, and limited current capital requires a coordinated wealth-building strategy that integrates tax optimization, Bitcoin accumulation, and real estate preparation. This multi-stream approach leverages your greatest assets (time availability, diverse income sources, entrepreneurial drive) while addressing your immediate vulnerability (emergency fund gap).

Why This Strategy Matches Your Profile

Based on your intake responses, you have several key characteristics that make this combined approach optimal:

- **Multiple Income Streams:** Jacob's W-2 + consulting (\$136K+), Sarah's established business, joint vending venture, and planned Shopify store create diverse optimization opportunities
- **Time Availability:** 10+ hours weekly allows active strategy implementation beyond passive approaches
- **Real Estate Interest:** Strong interest in multiple real estate paths (co-hosting, arbitrage, ownership, commercial) but currently limited by capital
- **Moderate Risk Approach:** "Balanced growth and stability" suggests Bitcoin allocation in 50-70% range with complementary strategies
- **Family Coordination Needed:** You specifically requested "shared wealth strategy" after years of separate financial management

Three-Phase Implementation

Phase 1: Foundation Building (Months 1-6)

Primary Goal: Emergency fund stabilization and tax optimization

- Build emergency fund to \$40-50K (6 months expenses) using tax savings and income optimization
- Implement all 8 tax strategies to generate \$52K-108K in annual savings
- Optimize entity structures across all businesses for maximum efficiency
- Launch vending business (February 2026) with proper structure and documentation
- Begin Bitcoin accumulation through automated DCA with small amounts during fund building

Phase 2: Wealth Acceleration (Months 7-18)

Primary Goal: Deploy capital into growth assets

- Allocate accumulated capital into Bitcoin-centric portfolio (60% BTC, 25% STRC, 15% real estate education)
- Scale vending business to cash flow positive, reducing family expense burden
- Begin real estate education and market analysis for short-term rental opportunities
- Maximize retirement contributions across all entities (\$138K potential annually)
- Establish business credit and improve personal scores to 720+ for future real estate financing

Phase 3: Real Estate Integration (Months 19-36)

Primary Goal: Deploy tax savings into real estate for leveraged growth

- Acquire first short-term rental property using accumulated Bitcoin gains and tax savings as down payment
- Implement material participation strategy (spouse dedicates hours to qualify for active loss treatment)
- Apply cost segregation study to first property for accelerated depreciation
- Use rental cash flow to accelerate Bitcoin accumulation and fund second property
- Target \$1M net worth milestone by Jacob age 43, Sarah age 39 (2028)

Coordination Across Entities

Your multiple business structures create both complexity and opportunity. Here's how to coordinate for maximum benefit:

Entity	Primary Purpose	Key Strategies
Sarah's S-Corp (2021)	Established revenue, wealth building	Solo 401(k), QBI optimization, Augusta Rule
Jacob's Consulting LLC	\$3K monthly side income	Solo 401(k), S-Corp election, home office
Vending Business (TBD)	Family overhead coverage	Child employment, Section 179 vehicle, accountable plan
Future Shopify (Son)	Teen business education	Income shifting, business education

Integration Opportunity: Your vending machines stationed at your children's schools and your family gyms create legitimate 80%+ business use for vehicle expenses while addressing your top monthly expenses (gas, groceries). This single strategy provides transportation, expense reduction, AND tax deductions.

Managing the Transition

Moving from "separate finances" to "shared wealth strategy" requires intentional coordination:

- 1. Unified Cash Flow Management:** Create single visibility into all income and expenses across entities
- 2. Coordinated Tax Planning:** Single CPA reviewing all entities together for optimal strategy selection
- 3. Joint Investment Decisions:** Shared accountability for Bitcoin accumulation and real estate deployment
- 4. Defined Roles:** Clear ownership of who manages which entities and strategies

5. **Regular Review Cadence:** Monthly financial reviews and quarterly strategy adjustments

Path to \$1M Net Worth

Your goal of \$1M net worth by Jacob age 43 (2028) is achievable through this coordinated approach:

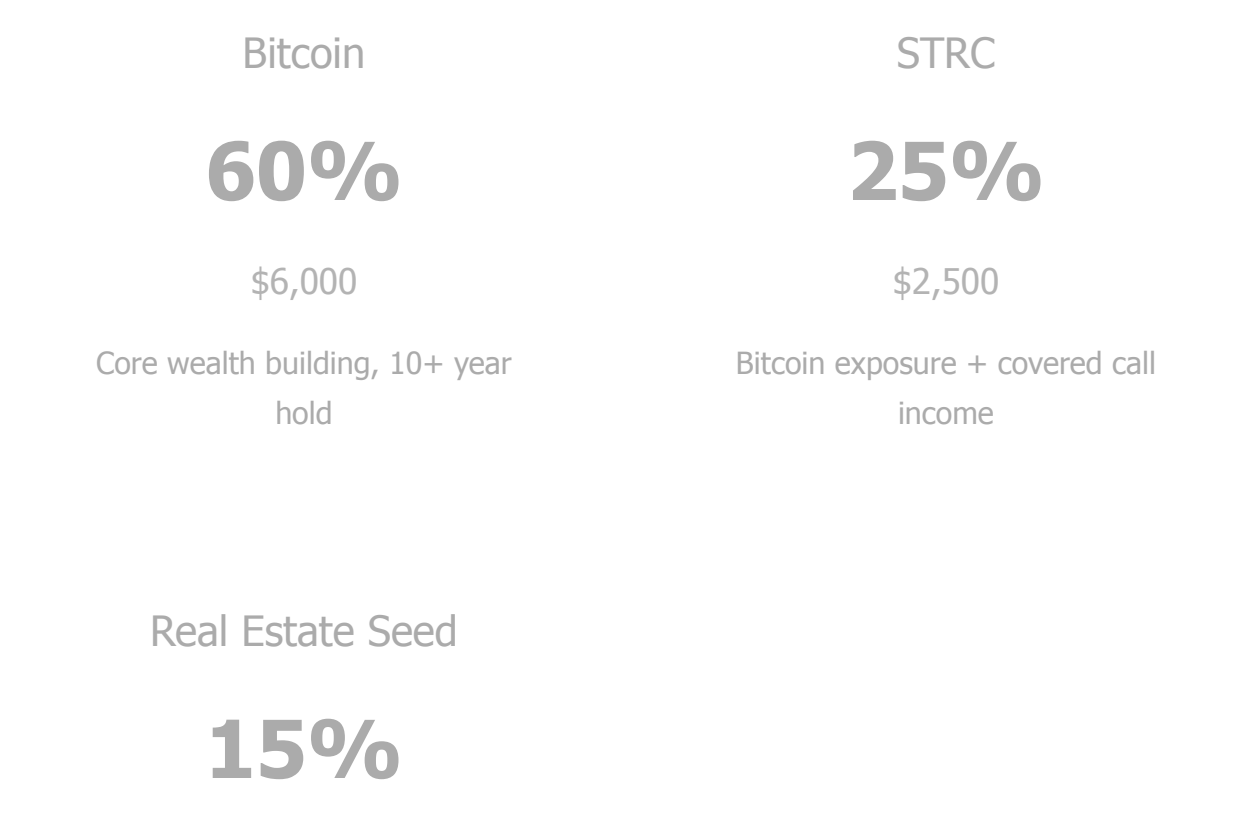
Wealth Component	Target Value (2028)	Growth Strategy
Retirement Accounts	\$400K - \$500K	Max contributions both spouses (\$138K/year × 4 years with growth)
Bitcoin Holdings	\$200K - \$400K	Aggressive accumulation + historical growth trajectory
Real Estate Equity	\$100K - \$200K	1-2 STR properties with appreciation + forced equity
Business Equity	\$100K - \$150K	Growing vending business + established operations
Total Net Worth	\$800K - \$1.25M	Conservative to aggressive scenarios

Investment Allocation Plan

Critical Priority: Before deploying any investment capital, you must build emergency fund to \$40-50K (6 months expenses). With 6 children, financial stability foundation is non-negotiable. The allocation below applies AFTER emergency fund is established.

Recommended Allocation Strategy

Based on your moderate risk tolerance ("balanced growth and stability"), strong real estate interest, and 10+ hours weekly availability, your optimal allocation balances Bitcoin accumulation with income-generating strategies and real estate preparation. Your current liquid capital of \$5-9K is insufficient for meaningful diversification, so the following allocation applies once emergency fund is completed and you have \$10K+ in investment capital.



\$1,500

Education, networking, market
research

Allocation Rationale

60% Bitcoin - Primary Wealth Builder: Your moderate risk approach and growth goals justify majority Bitcoin allocation. At 60%, you gain substantial upside exposure while maintaining balance. Bitcoin serves as your primary appreciation vehicle over the 4-year timeline to \$1M net worth. Dollar-cost averaging strategy removes timing risk while building position systematically.

25% STRC - Passive Income Component: Strategy offers Bitcoin exposure through covered call writing on Bitcoin holdings, generating 6-12% annual yield while maintaining upside participation. This provides passive income without active management requirement, fitting your time constraints and balanced approach. STRC acts as modified Bitcoin exposure with income generation.

15% Real Estate Seed Capital: You expressed "very interested" in real estate across multiple strategies (co-hosting, arbitrage, ownership, commercial). However, with limited current capital and emergency fund gap, immediate property purchase is premature. This 15% allocation funds real estate education, networking, market research, and relationship building. Use for: real estate courses, investor meetups, property tours, mentor relationships, and deal analysis practice. When ready to deploy larger capital (Phase 3), you'll have education and network in place.

Implementation Timeline

Phase 1: Emergency Fund Building (Months 1-6)

- **Primary Focus:** Accumulate \$40-50K cash reserve using tax savings and income optimization
- **Bitcoin DCA:** Begin small automated purchases (\$100-200/week) to establish discipline
- **Real Estate:** Start education (podcasts, books, free resources) while building capital
- **STRC:** Research and understand strategy, do not deploy capital yet

Phase 2: Capital Deployment (Months 7-12)

- **Bitcoin:** Deploy 60% of accumulated investment capital (\$6K+) through lump sum or aggressive DCA
- **STRC:** Allocate 25% (\$2.5K+) once platform access established and strategy understood
- **Real Estate:** Use 15% (\$1.5K) for paid courses, coaching, or mentorship to accelerate learning
- **Ongoing:** Continue systematic Bitcoin accumulation from monthly cash flow

Phase 3: Scaling and Real Estate Entry (Months 13-36)

- **Bitcoin:** Continue accumulation, targeting \$50K-100K position by year 3
- **Real Estate:** Deploy accumulated tax savings and Bitcoin gains as down payment on first STR property
- **Entity Integration:** Use real estate depreciation to offset W-2 income (material participation required)
- **Wealth Milestone:** \$1M net worth target by 2028 through combined growth across all assets

Custody and Security

Bitcoin Storage Strategy:

- **Accumulation Phase (\$0-\$25K):** Reputable exchange custody (Coinbase, Kraken) for convenience and DCA automation
- **Growth Phase (\$25K-\$100K):** Move to hardware wallet (Ledger, Trezor) for self-custody and enhanced security
- **Wealth Phase (\$100K+):** Multi-signature setup or institutional custody for maximum security
- **Never:** Keep Bitcoin on small exchanges, use leverage/margin, or share seed phrases digitally

Ongoing Management:

- Maintain allocation through quarterly rebalancing (only if drift exceeds 10%)

- Resist emotional selling during Bitcoin volatility (minimum 4-year hold period)
- Use tax-loss harvesting in taxable accounts to offset gains when appropriate
- Track cost basis meticulously for future tax reporting

Scaling Strategy: As tax savings accumulate and vending business generates positive cash flow, increase monthly Bitcoin DCA systematically. Target \$1,000-2,000 monthly allocation once emergency fund secured and businesses stabilized. This aggressive accumulation strategy, combined with historical Bitcoin growth patterns, positions you for \$1M net worth goal by 2028.

Tax Savings (Conservative)	\$52,000	Implementation across 8 strategies
Cash Flow Improvement	\$6,500	W-4 optimization + reduced overwithholding
Retirement Contributions	\$138,000	Both spouses max Solo 401(k) at \$69K each
Debt Elimination Potential	\$5,000-\$19,000	Using tax savings to eliminate non-mortgage debt
Emergency Fund Build	\$40,000-\$50,000	Priority deployment of tax savings
Investment Capital Remaining	\$10,000-\$30,000	After emergency fund, available for Bitcoin allocation
TOTAL FINANCIAL IMPROVEMENT	\$251,500+	Combined benefit across all categories

Monthly Cash Flow Transformation

Cash Flow Component	Current	Optimized	Monthly Improvement
Monthly Fixed Expenses	\$17,000	\$15,500	+\$1,500
W-4 Overwithholding	-\$600	-\$60	+\$540
Debt Service	-\$400	\$0	+\$400
Net Monthly Improvement	After Optimization		+\$2,440

This \$2,440 monthly improvement (\$29,280 annually) provides systematic capital for Bitcoin DCA, real estate fund building, and accelerated wealth accumulation.

Year-One Action Priorities by Value

1. **Solo 401(k) Maximization (\$16-28K value):** Highest tax savings, builds retirement wealth
2. **QBI Optimization (\$8-18K value):** Permanent deduction across multiple entities
3. **Section 179 Vehicle (\$7.5-25K value):** Necessary business asset + immediate deduction
4. **W-4 Optimization (\$6.5K value):** Immediate cash flow improvement, zero cost
5. **Backdoor Roth (\$5-15K value):** Tax-free growth over 20-30 years
6. **Augusta Rule (\$3.5-5.5K value):** Easy implementation, legitimate business use
7. **Child Employment (\$3-8K value):** Family benefit + tax savings + education
8. **Accountable Plan (\$2.5-6K value):** Systematic ongoing benefit

Multiplication Effect: These strategies don't just save taxes in isolation. Tax savings fund emergency fund, which enables Bitcoin accumulation, which funds real estate down payment, which creates depreciation to offset W-2 income, which increases investable capital. Each element amplifies the others, creating exponential wealth building momentum.

Implementation Timeline

2025 Year-End Push (December)

- Review 2025 business expenses for missed deductions before 12/31
- Make 2025 employee deferrals to Solo 401(k) accounts (both spouses) before year-end
- Optimize Jacob's W-4 withholding for immediate 2026 cash flow improvement
- Document Augusta Rule meetings held in 2025 if applicable
- Consider year-end equipment purchases if cash flow permits
- Schedule CPA meeting for 2025 return review and 2026 strategy alignment

Q1 2026 (January - March)

- **January:** Make Backdoor Roth IRA contributions for both spouses (\$14K total)
- **January:** Establish vending business entity and obtain EIN
- **February:** Launch vending business operations (first machine deployments)
- **February:** Make employer Solo 401(k) contributions for 2025 (by business filing deadline)
- **March:** Evaluate vehicle purchase timing (Q1 2026 vs waiting for more capital)
- **March:** Begin systematic Bitcoin DCA (\$200-400 weekly based on emergency fund progress)

- **Ongoing:** Emergency fund building to \$40-50K target

Q2 2026 (April - June)

- File 2025 tax returns with all optimized strategies documented
- Review Q1 business performance and adjust quarterly estimated payments
- Make first quarterly estimated payment for 2026 (April 15)
- Complete emergency fund build (\$40-50K achieved)
- Deploy initial investment capital into Bitcoin allocation (60% target)
- Begin real estate education phase (courses, books, networking)

Q3 2026 (July - September)

- Evaluate vending business performance vs projections (target positive cash flow)
- Make second quarterly estimated payment for 2026 (June 15)
- Mid-year tax planning review with CPA
- Deploy remaining investment capital into STRC allocation (25% target)
- Continue aggressive Bitcoin DCA with monthly cash flow improvements
- Attend real estate investing events or join local investor groups

Q4 2026 (October - December)

- Make third quarterly estimated payment (September 15)

- Plan Augusta Rule meetings for 2026 (maximum 14 days documentation)
- Review retirement contribution progress (targeting \$138K combined max)
- Year-end tax planning for 2026 (equipment purchases, expense timing)
- Evaluate real estate market for potential 2027 property acquisition
- Set 2027 goals based on 2026 results

2027-2028: Wealth Acceleration Phase

- Continue maximizing all 8 tax strategies (\$52-108K annual savings)
- Deploy accumulated capital into first short-term rental property
- Implement cost segregation study on rental property
- Material participation strategy (750+ hours) to unlock passive loss deductions
- Scale vending business to cover majority of family expenses
- Bitcoin position growth through accumulation + appreciation
- **Target: \$1M net worth by Jacob 43, Sarah 39 (2028)**

Action Plan Priorities

Critical Path Actions (Do These First)

Priority 1: Emergency Fund Foundation

- Open high-yield savings account for emergency fund (current rates 4-5%)
- Automate monthly transfers to build \$40-50K reserve over 6-12 months
- No investment deployment until this foundation is secure
- Calculate exact monthly expense requirement for 6-month coverage

Priority 2: 2025 Year-End Tax Optimization

- Schedule CPA meeting before 12/20/2025 for year-end planning
- Verify Sarah's S-Corp net profit accuracy (seems understated vs total income)
- Confirm recent home sale capital gains treatment before 12/31
- Make 2025 Solo 401(k) employee deferrals before year-end

Priority 3: Entity Structure Coordination

- Determine optimal structure for vending business (separate S-Corp vs under existing)
- Create formal child employment agreement for 17-year-old
- Establish accountable plan policies across all entities

- Coordinate reasonable compensation strategy across S-Corps

Weekly Action Rhythm

Weekly (15 minutes)

- Review spending against budget, identify optimization opportunities
- Track business mileage for all vehicles (use app for automation)
- Review Bitcoin DCA purchases and cost basis

Monthly (2 hours)

- Financial review meeting between spouses (all accounts, progress toward goals)
- Review business performance across all entities
- Process accountable plan reimbursements
- Update emergency fund progress tracking
- Make quarterly estimated tax payments (if due)

Quarterly (4 hours)

- CPA check-in for tax planning and strategy adjustments
- Review investment allocation and rebalance if drift >10%
- Evaluate strategy implementation progress
- Plan next quarter priorities and capital deployment

Quick Win Opportunities

Action	Time Required	Immediate Value
Update Jacob's W-4	15 minutes	+\$540/month cash flow

Open Backdoor Roth accounts	30 minutes	Enable \$14K annual contribution
Document 2025 home office use	1 hour	\$3,000-5,000 deduction
Set up mileage tracking app	20 minutes	\$1,800-15,000 potential
Review missed 2025 deductions	2 hours	\$5,000-15,000 recovery

Decision Points Requiring Input

The following decisions require your input for optimal execution:

1. **Vending Business Structure:** Create separate S-Corp or operate under existing entity?
2. **Vehicle Purchase Timing:** Buy before 12/31/2025 or wait until Q1 2026?
3. **Sarah's Business Details:** Clarify net profit and revenue for accurate tax planning
4. **Real Estate Timeline:** Aggressive push for 2027 property vs wait until 2028?
5. **Bitcoin Allocation Adjustment:** Comfortable with 60% or prefer more conservative 50%?

Professional Team Requirements

Essential Team Members

CPA / Tax Professional (CRITICAL)

- Current status: You have a CPA but describe as "less-than-impressive"
- **Required capabilities:** Multi-entity coordination, S-Corp optimization, real estate tax planning, aggressive strategy comfort
- **Action:** Evaluate current CPA's capability with 8-strategy implementation. If lacking, seek specialist in business owner taxation
- **Cost:** \$3,000-8,000 annually for comprehensive service
- **Value:** Proper execution of tax strategies worth \$52K+ annually justifies premium service

Bookkeeper

- **Purpose:** Monthly reconciliation across multiple entities, expense categorization, financial reporting
- **Timing:** Immediate (as businesses scale)
- **Cost:** \$200-500/month
- **Value:** Ensures tax deductions captured, reduces year-end scramble, provides financial clarity

Payroll Service

- **Purpose:** W-2 processing for S-Corps, quarterly payroll tax filings, year-end forms
- **Options:** Gusto, ADP, Paychex
- **Cost:** \$40-100/month per entity
- **Value:** Ensures compliance with reasonable compensation, eliminates manual payroll administration

Recommended Future Team Members

Real Estate Attorney (When Acquiring Property)

- **Timing:** Before first rental property purchase (2027)
- **Purpose:** Entity structuring for liability protection, lease agreements, eviction procedures
- **Cost:** \$2,000-5,000 for entity setup + ongoing consultation

Insurance Agent (Comprehensive Review)

- **Timing:** Q1 2026
- **Purpose:** Business liability, umbrella policy (multiple businesses + real estate), proper coverage across entities
- **Focus:** As wealth grows, asset protection becomes critical

Estate Planning Attorney

- **Timing:** When net worth exceeds \$500K (likely 2027)
- **Purpose:** Will, trust structure, business succession, minor children guardianship
- **Cost:** \$2,000-5,000 for comprehensive plan

Service Provider Selection Criteria

When evaluating professional service providers, prioritize:

1. **Multi-Entity Experience:** Must understand complexity of multiple businesses across spouses
2. **Growth-Oriented:** Should support wealth building, not just compliance
3. **Proactive Communication:** Reaches out with planning ideas, not just reactive
4. **Real Estate Knowledge:** Experience with STR strategies, cost segregation, material participation
5. **Technology-Enabled:** Modern systems, cloud-based access, efficient processes

Wealth Building Milestones

Financial Independence Pathway

Milestone	Target Date	Net Worth	Key Indicators
Foundation Built	Q2 2026	\$150K-\$200K	Emergency fund complete, tax strategies implemented, Bitcoin accumulation started
Accelerating Growth	Q4 2026	\$300K-\$400K	Vending business profitable, retirement accounts growing, Bitcoin position established
Diversification Phase	Q4 2027	\$600K-\$800K	First rental property acquired, cost segregation deployed, multi-asset portfolio
\$1M Net Worth Goal	2028	\$1M+	Jacob age 43, Sarah age 39 - Primary goal achieved
Financial Flexibility	2030	\$2M-\$3M	Multiple properties, substantial Bitcoin holdings, business equity
Financial Independence	2033	\$5M-\$10M	Passive income exceeds expenses, work becomes optional

Quarterly Progress Tracking

Track these key metrics quarterly to ensure you're on path to goals:

Financial Metrics

- Net worth (target: \$250K annual growth after foundation phase)
- Tax savings realized vs projected
- Retirement account balances (target: \$138K annual contributions)
- Bitcoin position size and cost basis
- Emergency fund status (must maintain 6 months)

Business Metrics

- Combined household income growth
- Vending business revenue vs projections
- Each entity's net profit margins
- Business credit scores

Implementation Metrics

- Number of tax strategies successfully implemented
- Documentation completion (mileage logs, meeting minutes, etc.)
- Professional team in place and performing
- Real estate education progress

Success Indicators

You'll know you're on track when you see:

- 
- **Cash Flow Confidence:** No longer living "paycheck to paycheck," emergency fund provides buffer
 - **Tax Savings Reality:** Actual refund/payment matches projections, CPA confirms strategy execution
 - **Investment Momentum:** Bitcoin position growing through systematic accumulation

- 
- **Business Synergy:** Multiple entities coordinating efficiently, vending business reducing family expenses
 - **Shared Vision:** Both spouses aligned on strategy, regular financial reviews happening
 - **Credit Improvement:** Scores increasing toward 720+ target for real estate financing
 - **Real Estate Readiness:** Capital accumulating, education progressing, network forming

Appendices

Appendix A: Key Tax Deadlines

Deadline	Action Required
December 31, 2025	Solo 401(k) employee deferrals, equipment purchases, home office setup
January 15, 2026	Q4 2025 estimated tax payment
March 15, 2026	S-Corp returns (1120-S) due, employer Solo 401(k) contributions for 2025
April 15, 2026	Personal tax return, Q1 2026 estimated payment, Backdoor Roth contribution
June 15, 2026	Q2 2026 estimated tax payment
September 15, 2026	Q3 2026 estimated tax payment

Appendix B: Documentation Checklist

Ongoing Documentation (Keep Current)

- Mileage logs for all business vehicles (app recommended)
- Home office photos and square footage calculations
- Augusta Rule meeting agendas and attendee lists
- Child employee timesheets and task documentation
- Accountable plan expense reports with receipts

- Business meeting minutes and strategic planning notes

Year-End Documentation

- All business entity financial statements
- Reasonable compensation justification for S-Corps
- Solo 401(k) contribution confirmations
- Form 8606 for Backdoor Roth conversions
- Section 179 vehicle purchase and usage records
- Real estate acquisition costs and improvement tracking (when applicable)

Appendix C: Recommended Resources

Tax Strategy Education

- IRS Publication 535 (Business Expenses)
- IRS Publication 587 (Business Use of Home)
- IRS Publication 946 (Depreciation)

Bitcoin Education

- Hardware wallet setup guides (Ledger, Trezor)
- Dollar-cost averaging calculators
- Tax reporting software (Cointracker, Koinly)

Real Estate Investing

- BiggerPockets forums and podcasts
- Local real estate investor meetups
- Short-term rental market analysis tools (AirDNA)

Important Information

This wealth plan provides strategic guidance based on the information you provided during intake. Tax strategies discussed are based on current tax law as of December 2025, including provisions of the One Big Beautiful Bill Act (OBBBA) signed July 4, 2025.

Implementation Responsibility

Successful execution requires proper professional guidance. Work with your CPA to ensure all strategies are implemented correctly for your specific situation.

Documentation requirements and compliance procedures should be reviewed with qualified professionals before proceeding.

Forward-Looking Statements

Investment projections and growth estimates are based on historical patterns and should not be considered guarantees. Bitcoin and real estate markets involve substantial variability. Your actual results will depend on market conditions, implementation quality, and numerous other factors.

Updates and Adjustments

This plan should be reviewed and updated at least annually as your financial situation evolves, tax laws change, and new opportunities emerge. Regular coordination with your professional team ensures strategies remain optimal and compliant.

Questions and Support

This comprehensive plan provides your roadmap to \$1M net worth by 2028. Execute with confidence, track progress quarterly, and adjust as needed. Your success depends on consistent implementation of these high-value strategies.

**Sarah Alexander Moore & Jacob Dale Skogen | Comprehensive Wealth Plan |
December 2025**